

THE THESIS IN ONE LINE

Sells the AI 'factory,' not just a chip. Fairly valued at spot - the edge is the entry, not the thesis.

▲ BULL — why it could be worth it

- Best financials in large-cap tech: FY26 rev \$215.9B (+65.5%), 71% GM, 60% op margin [FACT]
- 120B net income, 103B operating cash flow, net cash [FACT]
- Moat = CUDA + NVLink rack-scale + pre-booked CoWoS-L - three layers to beat at once [ATTRIBUTED]
- 2nd-cheapest in cohort (~32x fwd, PEG <1) vs AMD 181x, MRVL 103x, AVGO 66x [FACT]
- 8/8 sell-side Buy, median target ~\$300 [FACT]

▼ BEAR — why it might not

- Gross margin already rolled 75.0% -> 71.1% (FY25->FY26), at the cycle top [FACT]
- Inference (~2/3 of compute) leaks to custom ASICs at 40-65% lower TCO [ATTRIBUTED]
- FY23 air-pocket proven: rev +0.2%, op margin 37%->16% in one year [FACT]
- ~43x trailing GAAP on a ~\$5.1T base - law of large numbers bites [EST]
- >40B circular AI vendor – financing vs 10.6B cash [FACT/ATTRIBUTED]

THE SINGLE DRIVER TO WATCH

NVDA's retained \$ share of the accelerator TAM - CUDA/NVLink/perf-per-watt moat vs custom-ASIC inference encroachment, gated near-term by TSMC CoWoS-L + HBM supply.

VALUATION

~32x fwd / ~43x trailing; PEG <1; 2nd-cheapest in cohort yet highest growth & margin. Base 75% share / 440B TAM = 244 / +5% IRR.

ENTRY / LEVELS

Accumulate <= \$195, full size <= \$180. Base \$244-283 (+5-10%/yr); bull \$346-372 (+18-21%/yr).

WHAT WOULD FLIP THE CALL

A frontier model trained off-NVDA PLUS a structural sub-67% GM quarter and/or DC revenue growth <+25% -> flips to a paired underweight (put spread + long AVGO/ASIC), target \$140-160.